IT SERVICES: Government Services

Tobey Sommer
615-748-4435
Tobey.Sommer@truist.com

Jasper Bibb
212-303-1742
Jasper.Bibb@truist.com

Tyler Barishaw
212-303-4177
Tyler.Barishaw@truist.com

Stock Rating	**BUY** *Unchanged*
Price Target	**$50.00** *Unchanged*

TR to Target	31.0%
Price (Oct. 30, 2026)	$38.70
52-Wk Range	$44.98-$30.06
Market Cap ($M)	$4,915
ADTV	1,269,858
Shares Out (M)	127
Short Interest Ratio/% Of Float	7.2%
Dividend/Yield	$0.68/1.8%
Enterprise Value ($M)	$7,033
Cash & Equivalents ($M)	$439
Total Debt ($M)	$2,557

6 Page Document

Reasons for this report

- ✓ Event Preview
- ✓ Adjusting Estimates

KBR, Inc. (KBR)

KBR - Looking Ahead to Investor Days

We see the primary debate on KBR headed into the spin-off as what the business should be worth on a SOTP basis (we argue $50/share total, largely due to STS/new KBR) and whether the spin-off is complicated by both segments facing material '27 headwinds (Plaquemines, NASA insourcing). We take an intentionally conservative view on '27 despite more constructive management commentary on the call regarding KBR/Trinzic being able to offset their respective headwinds. We look to both (new KBR and Trinzic) investor days later this month as the next catalyst.

We forecast MTS/Trinzic revenue growing 1% to $5.18B, flat y/y in 1Q27 and building through the year. That reflects tough 1H comparisons from NASA in-sourcing, which should be finished by year-end, partly offset by the NSF Antarctica re-award and a classified win. We model adj. EBITDA of $552M (10.6% margin), down from $570M (11.1%) in '26E.

We forecast STS/new KBR revenue growing 5% to $3.05B in '27 and adj. EBITDA down on Plaquemines headwind. Our '27E revenue represents a slowdown from 15% in '26E, with adj. EBITDA down about 3% to $535M (17.5% margin vs. 18.9%). The decline reflects the Plaquemines LNG JV step-down after another $25-35M in 4Q; we model consolidated JV equity earnings falling to $85M from $211M. Our model is more conservative than management's view that a record backlog can absorb the LNG roll-off and still grow in '27.

KBR reaffirmed all prior FY26 guidance. KBR's revenue midpoint implies 4Q at $2.195B (consensus: $2.09B). That outlook assumes MTS revenue is flat to modestly down sequentially we estimate implying $1.23B-$1.265B (consensus: $1.354B) and STS keeps growing at a low double-digit sequential rate we estimate implying $838M-$861M (consensus: $728M). Guidance implies 4Q adj. EBITDA of $203–263M (consensus: $249M) and adj. EPS of $0.81-$1.16 (consensus: $1.04). The main risk to cash is collections timing in the Middle East: $25–50M could slip past year-end, though management still expects to land within the cash flow range. There was no formal '27 guidance; details were deferred to separate Investor Days for KBR/Trinzic on 11/11 and 11/12.

Profit ahead and in-line revenue, both driven by STS strength. Revenue rose 5% to $2.03B (consensus: $2.04B). Mission Tech (MTS) revenue fell 5% to $1.27B (consensus: $1.37B) on the expected NASA in-sourcing, while Sustainable Tech (STS) rose 26% y/y to $762M (consensus: $696M). Adj. EBITDA came in well ahead of expectations with adj. EBITDA of $268M (consensus: $247M) implying a 13.2% margin (consensus: 12.1%). Adj. EPS rose 10% y/y to $1.12 (consensus: $1.00).

Solid STS bookings while MTS remains weak w/ 0.9x consolidated book-to-bill. STS book-to-bill was 1.3x (1.3x TTM), lifting backlog to a record $5.8B, up more than 50% y/y. Excluding the Brown & Root JV, where customers deferred maintenance, STS book-to-bill was 1.5x year-to-date. MTS reported book-to-bill was weak at 0.6x after management removed the remaining NASA work from backlog, or 0.8x excluding that debooking, as U.S. procurement timelines keep stretching. The NSF Antarctica re-award isn't yet in backlog.

Model Changes: We cut our '27E revenue to $8.235B (prior: $8.357B) and adj. EPS to $3.85 (prior: $3.86). For '28E, we initiate revenue at $8.644B and adj. EPS at $4.25.

Valuation: Our $50 PT assumes a 7.6x '28E EV/EBITDA multiple.

Figure 1: KBR Historical and Projected Income Statement

TRUIST
Truist Securities

KBR, Inc.

(millions $, except per share data)

Required disclosures are located on the last tab of the workbook

Tobey Sommer (615) 748-4435
Tobey.Sommer@Truist.com
Last Updated: 11/2/2026

	2024A	2025A	1Q26A	2Q26A	3Q26A	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E	1Q28E	2Q28E	3Q28E	4Q28E	2028E	2029E
Revenue:																		
Mission Technology Solutions (MTS)	$5,587	$5,257	$1,296	$1,308	$1,266	$1,253	$5,123	$1,296	$1,315	$1,282	$1,290	$5,183	$1,335	$1,361	$1,330	$1,336	$5,361	$5,575
Growth Rate	*9.1%*	*-5.9%*	*-6.2%*	*-2.1%*	*-4.5%*	*3.2%*	*-2.6%*	*0.0%*	*0.5%*	*1.3%*	*3.0%*	*1.2%*	*3.0%*	*3.5%*	*3.7%*	*3.5%*	*3.4%*	*4.0%*
Sustainable Technology Solutions (STS)	$2,155	$2,529	$627	$676	$762	$846	$2,911	$665	$723	$792	$872	$3,052	$704	$774	$864	$941	$3,283	$3,521
Growth Rate	*17.3%*	*17.4%*	*-1.6%*	*9.7%*	*26.0%*	*26.1%*	*15.1%*	*6.0%*	*7.0%*	*4.0%*	*3.0%*	*4.8%*	*6.0%*	*7.0%*	*9.0%*	*8.0%*	*7.6%*	*7.2%*
Total Revenue	**$7,742**	**$7,786**	**$1,923**	**$1,984**	**$2,028**	**$2,099**	**$8,034**	**$1,961**	**$2,038**	**$2,075**	**$2,162**	**$8,235**	**$2,039**	**$2,135**	**$2,194**	**$2,277**	**$8,644**	**$9,096**
Growth Rate	*11.3%*	*0.6%*	*-4.7%*	*1.6%*	*5.0%*	*11.4%*	*3.2%*	*2.0%*	*2.7%*	*2.3%*	*3.0%*	*2.5%*	*4.0%*	*4.7%*	*5.7%*	*5.3%*	*5.0%*	*5.2%*
Gross Profit	$1,103	$1,150	$290	$293	$301	$332	$1,216	$298	$318	$322	$346	$1,283	$310	$333	$340	$364	$1,347	$1,418
Total Equity in Earnings	$107	$210	$51	$52	$64	$44	$211	$21	$21	$21	$21	$85	$21	$21	$21	$21	$85	$85
G&A Expenses	$544	$578	$136	$143	$155	$170	$604	$117	$152	$139	$152	$559	$115	$151	$138	$150	$554	$547
Mission Technology Solutions (MTS) Adj. EBITDA	$544	$551	$138	$158	$145	$129	$570	$139	$139	$139	$135	$552	$144	$146	$145	$143	$578	$610
Margin	*9.7%*	*10.5%*	*10.6%*	*12.1%*	*11.5%*	*10.3%*	*11.1%*	*10.7%*	*10.6%*	*10.8%*	*10.5%*	*10.6%*	*10.8%*	*10.7%*	*10.9%*	*10.7%*	*10.8%*	*10.9%*
Sustainable Technology Solutions (STS) Adj. EBITDA	$439	$525	$137	$123	$147	$144	$551	$130	$116	$136	$152	$535	$141	$129	$152	$169	$592	$651
Margin	*20.4%*	*20.8%*	*21.9%*	*18.2%*	*19.3%*	*17.0%*	*18.9%*	*19.6%*	*16.1%*	*17.2%*	*17.4%*	*17.5%*	*20.0%*	*16.7%*	*17.6%*	*18.0%*	*18.0%*	*18.5%*
Corporate	-$115	-$108	-$24	-$23	-$24	-$28	-$99	-$27	-$28	-$29	-$29	-$113	-$28	-$29	-$30	-$31	-$118	-$124
Consolidated Adjusted EBITDA	**$868**	**$968**	**$251**	**$258**	**$268**	**$245**	**$1,022**	**$242**	**$228**	**$246**	**$258**	**$974**	**$257**	**$246**	**$267**	**$281**	**$1,051**	**$1,137**
Margin	*11.2%*	*12.4%*	*13.1%*	*13.0%*	*13.2%*	*11.7%*	*12.7%*	*12.3%*	*11.2%*	*11.8%*	*11.9%*	*11.8%*	*12.6%*	*11.5%*	*12.2%*	*12.4%*	*12.2%*	*12.5%*
Operating Income	$660	$778	$180	$172	$186	$206	$744	$203	$187	$204	$215	$809	$216	$203	$223	$236	$878	$956
Earnings Before Taxes	$509	$614	$143	$135	$150	$170	$598	$167	$151	$168	$179	$664	$180	$167	$187	$200	$733	$811
Provision (benefit) for Income Taxes	$130	$156	$40	$38	$18	$46	$142	$45	$41	$45	$48	$179	$49	$45	$50	$54	$198	$219
Tax Rate	*25.5%*	*25.4%*	*28.0%*	*28.1%*	*12.0%*	*27.0%*	*23.7%*	*27.0%*	*27.0%*	*27.0%*	*27.0%*	*27.0%*	*27.0%*	*27.0%*	*27.0%*	*27.0%*	*27.0%*	*27.0%*
Net Income Attributable to KBR	$373	$419	$102	$96	$133	$124	$455	$122	$110	$123	$130	$485	$131	$122	$136	$146	$535	$592
EPS Attributable to KBR	$2.79	$3.25	$0.80	$0.75	$1.06	$0.98	$3.59	$0.96	$0.87	$0.97	$1.04	$3.85	$1.04	$0.97	$1.08	$1.16	$4.25	$4.70
Adj. EPS	**$3.34**	**$3.93**	**$0.96**	**$0.99**	**$1.12**	**$0.98**	**$4.05**	**$0.96**	**$0.87**	**$0.97**	**$1.04**	**$3.85**	**$1.04**	**$0.97**	**$1.08**	**$1.16**	**$4.25**	**$4.70**
Diluted Shares Outstanding	134	129	127	127	126	126	127	126	126	126	126	126	126	126	126	126	126	126

Source: Company Reports, Truist Securities Estimates

Company Description

KBR, Inc. (KBR) is a global provider of professional services, management and technology across the government services and hydrocarbons industries. The company traces its origins to two businesses, The M.W. Kellogg Company and Brown & Root, which were acquired by Halliburton in 1998 and 1962, respectively before being spun off as KBR in 2007. Kellogg, founded in 1901, has its roots in tech and services for the petroleum refining, petrochemical processing and LNG industries. Brown & Root, founded in 1919, was an engineering and construction company that built the first offshore platform in 1947. Following the run-off of the exited power plant business beginning in 2014, new management lead acquisitions of Honeywell Technology Solutions and Wyle in 2016, Stinger Ghaffarian Technologies in 2018, Centauri in 2020 and Frazer-Nash in 2021. KBR now generates roughly 70%+ of its revenue from Mission Technology Solutions (MTS), and 20-30% from the Sustainable Technology Solutions (STS) segment. This represents a wholesale strategic shift from 2014 (the year CEO Stuart Bradie took the helm), when legacy Energy Solutions accounted for 72% of revenue and GS accounted for 10% of revenue.

Investment Thesis

We look for KBR's valuation to exceed peer averages among Defense/Intel services companies as organic growth outpaces the group and investors come to appreciate the attractive Sustainable Technology business. We view KBR as well-aligned with US National Security priorities in space, cyber & analytics and energy transition. Key differentiators from the peer group include a sizeable international business, greater exposure to large long-duration awards and commercial exposure in the Sustainable Technology segment.

In our view, current management has done an exceptional job of moving the company up-market into higher-value solutions since current CEO Stuart Bradie joined in 2014. From a capital deployment perspective, we look for the company to deploy additional capital in Government Services or share repurchase while keeping net leverage ~3.0x or lower. We rate the shares Buy.

Valuation and Risks

Valuation:

We value KBR shares using the following two methods: (1) enterprise value multiples, and (2) price to earnings multiples.

Enterprise Value Multiples – Peers in the government services space currently trade at ~10x. Assuming that KBR's current multiple trends to 7.6x (including FCF and spin costs) and based on our 2028 adj. EBITDA estimate of $1,051M, we arrive at a $50 valuation.

Price to Earnings Multiples - Peers in the government services space currently trade at ~13x. Assuming the multiple trends to 11.7x and using our 2028 adj. EPS of $4.25, we arrive at a $50 valuation.

Based on these two valuation methods, we set our price target at $50 for KBR shares.

Risks to our rating and price target:

- **If there is a high-profile data leak, it could impact the reputation of contractors in the Intelligence and Space community**. Major leaks/theft by employees of contractors (such as in the cases of Edward Snowden and Harold Martin) are rare and impossible to predict, though the impact could be significant to not only the company involved, but the reputation of the industry as a whole.
- **Utilization of joint ventures could create uncertainty around partner relationships.** For example, JV partner Carillion liquidated its ownership of the Aspire Defence JV in January, 2018.
- **If the government were to change its procurement practices** it could negatively impact KBR's business.
- **If the company is unable to maintain cohesive relationships with other contractors, it may affect the rate at which business is completed.** KBR works with other contractors and subcontractors on a variety of projects, meaning a breakdown in communication could impact the company's reputation.
- **KBR may have a difficult time finding acquisition targets in the Government Solutions space at a reasonable price**. Acquisition multiples have increased significantly over the last several years, especially for larger targets, we think. An ability or inability to find acquisition targets at a reasonable price could have a substantial impact on the company's end market exposure.
- **A new administration could result in shifting spending priorities in future budgets.** This could impact the procurement environment for KBR, potentially hurting the top and bottom line.
- **Protests from losing bidders of KBR's contract wins could prove successful,** potentially negatively affecting the share price.
- **M&A integration.** We expect KBR to be acquisitive, primarily in the GS segment. Future acquisitions could introduce new risks or fail to meet investor expectations.

Companies Mentioned in This Note

KBR, Inc. (KBR, $38.70, Buy, Tobey Sommer)

Analyst Certification

I, Tobey Sommer , hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company(ies) and its (their) securities. I also certify that I have not been, am not, and will not be receiving direct or indirect compensation in exchange for expressing the specific recommendation(s) in this report.

Required Disclosures

Truist Securities, Inc. makes a market in the following company: KBR-US

Analyst compensation is based upon stock price performance, quality of analysis, communication skills, and the overall revenue and profitability of the firm, including investment banking revenue.

As a matter of policy and practice, the firm prohibits the offering of favorable research, a specific research rating or a specific target price as consideration or inducement for the receipt of business or compensation. In addition, associated persons preparing research reports are prohibited from owning securities in the subject companies.



Important Disclosures on Equity Research Dissemination, Ratings, Designations, and Coverage Universe

Dissemination of Research

Truist Securities, Inc. ("Truist Securities") seeks to make all reasonable efforts to provide research reports simultaneously to all eligible clients. Reports are available as published in the restricted access area of our website to all eligible clients who have requested a password. Institutional investors, corporates, and members of the Press may also receive our research via third party vendors including: Thomson Reuters, Bloomberg, FactSet, and S&P Capital IQ. Additional distribution may be done by sales personnel via email, fax, or other electronic means, or regular mail.

For access to third party vendors or our Research website: https://truist-portal.bluematrix.com

Please email the Research Department at EquityResearchDepartment@truist.com or contact your Truist Securities sales representative.

Truist Securities Rating System for Equity Securities

Truist Securities, Inc. ("Truist Securities") rates individual equities using a three-tiered system. Each stock is rated relative to the broader market (generally the S&P 500) over the next 12-18 months (unless otherwise indicated).

Buy (B) – the stock's total return is expected to outperform the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Hold (H) – the stock's total return is expected to perform in line with the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Sell (S) – the stock's total return is expected to underperform the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Not Rated (NR) – Truist Securities does not have an investment rating or opinion on the stock

Coverage Suspended (CS) – indicates that Truist Securities' rating and/or target price have been temporarily suspended due to applicable regulations and/or Truist Securities Management discretion. The previously published rating and target price should not be relied upon.

Truist Securities analysts have a price target on the stocks that they cover, unless otherwise indicated. The price target represents that analyst's expectation of where the stock will trade in the next 12-18 months (unless otherwise indicated). If an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Truist Securities Research Management not to assign a target price; likewise certain stocks that trade under $5 may exhibit volatility whereby assigning a price target would be unhelpful to making an investment decision. As such, with Research Management's approval, an analyst may refrain from assigning a target to a sub-$5 stock.

Legend for Rating and Price Target History Charts:

B = Buy

H = Hold

S = Sell

D = Drop Coverage

CS = Coverage Suspended

NR = Not Rated

I = Initiate Coverage

T = Transfer Coverage

Truist Securities ratings distribution (as of 11/02/2026):

Coverage Universe			Investment Banking Clients Past 12 Months		
Rating	**Count**	**Percent**	**Rating**	**Count**	**Percent**
Buy	490	65.33%	Buy	146	29.80%
Hold	259	34.53%	Hold	66	25.48%
Sell	1	0.13%	Sell	0	0.00%

Other Disclosures

Certain information contained herein has been derived from third-party sources believed to be reliable but is not guaranteed as to accuracy and does not purport to be a complete analysis of the security, company or industry involved. This report is not to be construed as an offer to sell or a solicitation of an offer to buy any security. Truist Securities, Inc. and/or its officers or employees may have positions in any securities, options, rights or warrants. The firm and/or associated persons may sell to or buy from customers on a principal basis. Investors may be prohibited in certain states from purchasing some over the-counter securities mentioned herein. Opinions expressed are subject to change without notice.

Truist Securities, Inc.'s research is primarily provided to and intended for use by Institutional Accounts as defined in FINRA Rule 4512(c). The term "Institutional Account" shall mean the account of: (1) a bank, savings and loan association, insurance company or registered investment company; (2) an investment adviser registered either with the SEC under Section 203 of the Investment Advisers Act or with a state securities commission (or any agency or office performing like functions); or (3) any other person (whether a natural person, corporation, partnership, trust or otherwise) with total assets of at least $50 million. In addition, certain affiliates of Truist Securities, Inc., including Truist Bank, Truist Investment Services, Inc. (an SEC registered broker-dealer and a member of FINRA, SIPC) and Truist Advisory Services, Inc. (an investment adviser registered with the SEC), may make Truist Securities, Inc. research available, upon request, to certain of their clients from time to time.

Truist Securities, Inc. is a registered broker-dealer and a member of FINRA and SIPC. It is a service mark of Truist Financial Corporation. Truist Securities, Inc. is owned by Truist Financial Corporation and affiliated with Truist Investment Services, Inc. Despite this affiliation, securities recommended, offered, sold by, or held at Truist Securities, Inc. or Truist Investment Services, Inc. (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Truist Bank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. Truist Bank may have a lending relationship with companies mentioned herein. Certain clients may compensate Truist Securities, Inc. for research via hard dollar payments, and Truist Securities, Inc. may be deemed to be an investment adviser to such clients as a result of such payments.

Please see our Disclosure Database to search by ticker or company name for the current required disclosures, including valuation and risks. Link: https://truist.bluematrix.com/sellside/Disclosures.action

Please visit the Truist Securities Equity Research Portal for coverage universe, current reports, and analyst roster with contact information. Link: https://truist-portal.bluematrix.com

Truist Securities, Inc., member FINRA and SIPC. Truist, Truist Bank, Truist Securities, Truist Investment Services, and Truist Advisory Services are service marks of Truist Financial Corporation.

If you no longer wish to receive this type of communication, please request removal by sending an email to EquityResearchDepartment@truist.com

© Truist Securities, Inc. 2026. All rights reserved. Reproduction or quotation in whole or part without permission is forbidden. Without Truist Securities' prior written consent, the contents of this report may not be used, in whole or in part, in connection with the training, development, fine-tuning or operation of a machine learning or artificial intelligence system, tool or application.

ADDITIONAL INFORMATION IS AVAILABLE at our website, TruistSecurities.com, or by writing to: Truist Securities, Research Department, 740 Battery Avenue SE, 3rd Floor, Atlanta, GA 30339-3107